

S corporationHarbor Studio IncEIN (sample)XX-0000001

ShareholderJordan HaleTax year2025

Entity address412 Filbert Street, San Francisco, CA 94123Ownership100%

W-2 wages from this S-corp\$36,000Final / amendedNo

PART III · shareholder's share of current year income			
Box 1	Ordinary business income (loss)	52,000	1084 9a
Box 2	Net rental real estate income (loss)	0	1084 9b
Box 3	Other net rental income (loss)	0	1084 9b
Box 4	Interest income	190	
Box 11	Section 179 deduction	0	usually not added
Box 16D	Distributions	44,000	liquidity signal

FORM 1120S ADJUSTMENTS · shareholder % already applied			
10a	Nonrecurring other (income) loss	0	1084 subtract if income
10b	Depreciation	8,000	1084 add
10c	Depletion	0	1084 add
10d	Amortization / casualty loss	0	1084 add
10e	Mortgages or notes payable in less than 1 year	0	1084 subtract
10f	Non-deductible travel and entertainment	600	1084 subtract

Expected 1084 S-corp cash flow (this shareholder, before liquidity)59,400

Suggested monthly · not underwritten: \$4,950 · Ordinary alone / 12 = \$4,333

W-2 from Harbor Studio Inc \$36,000 is wage income. Do not add it again inside the K-1 cash flow.

- v1 Fox may propose Box 1 ordinary / 12 only. Label: Ordinary is not confirmed cash flow.
- Full 1084 multiplies business adjustments by ownership (already done here at 100%).
- S-corp W-2 is a separate Employment row if used. Combined = W-2 method + K-1 method, both named.
- Distributions support liquidity later. They are not qualifying income.
- Filbert is residence / entity mail, not automatically the subject property.
- Confirm before write.